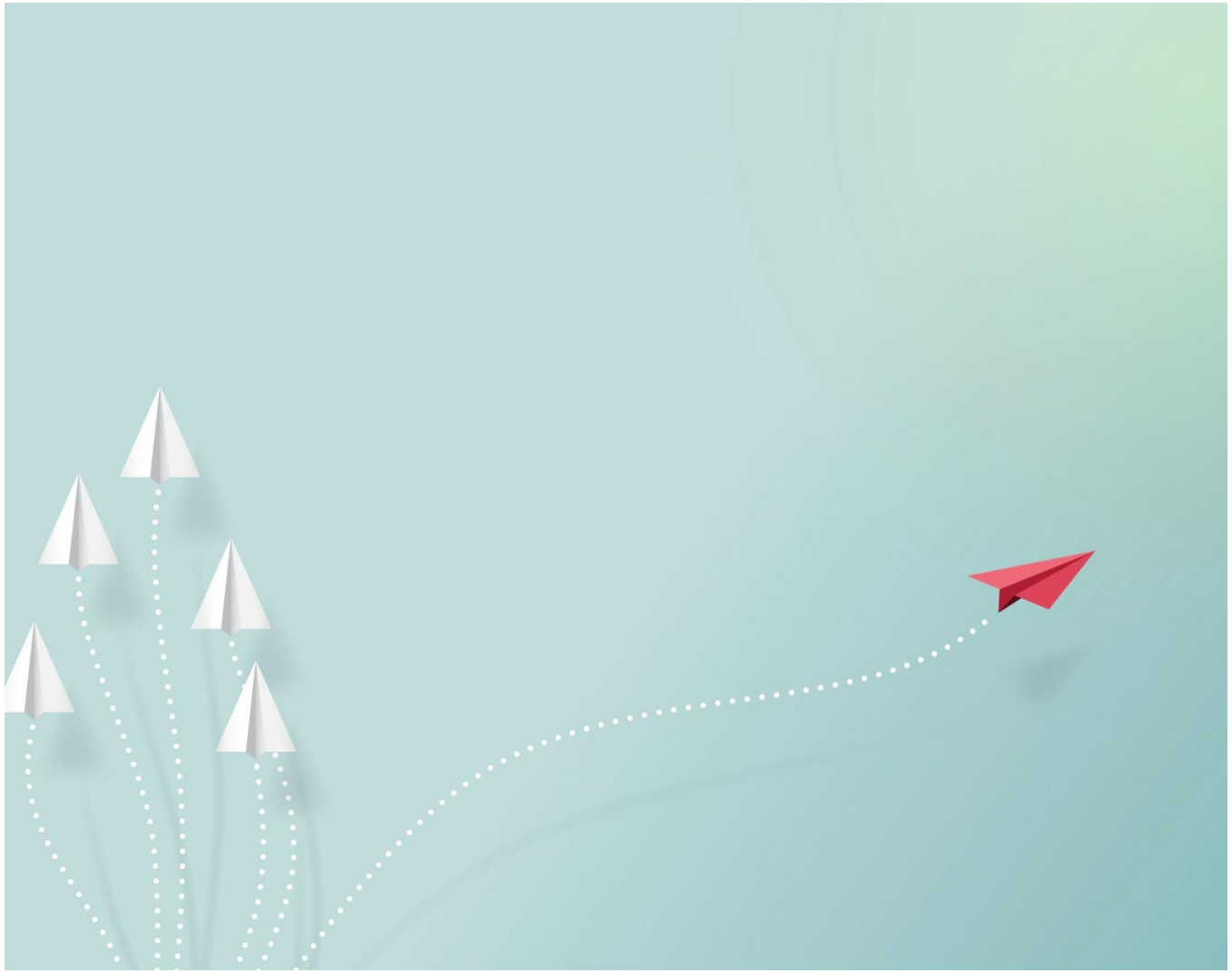
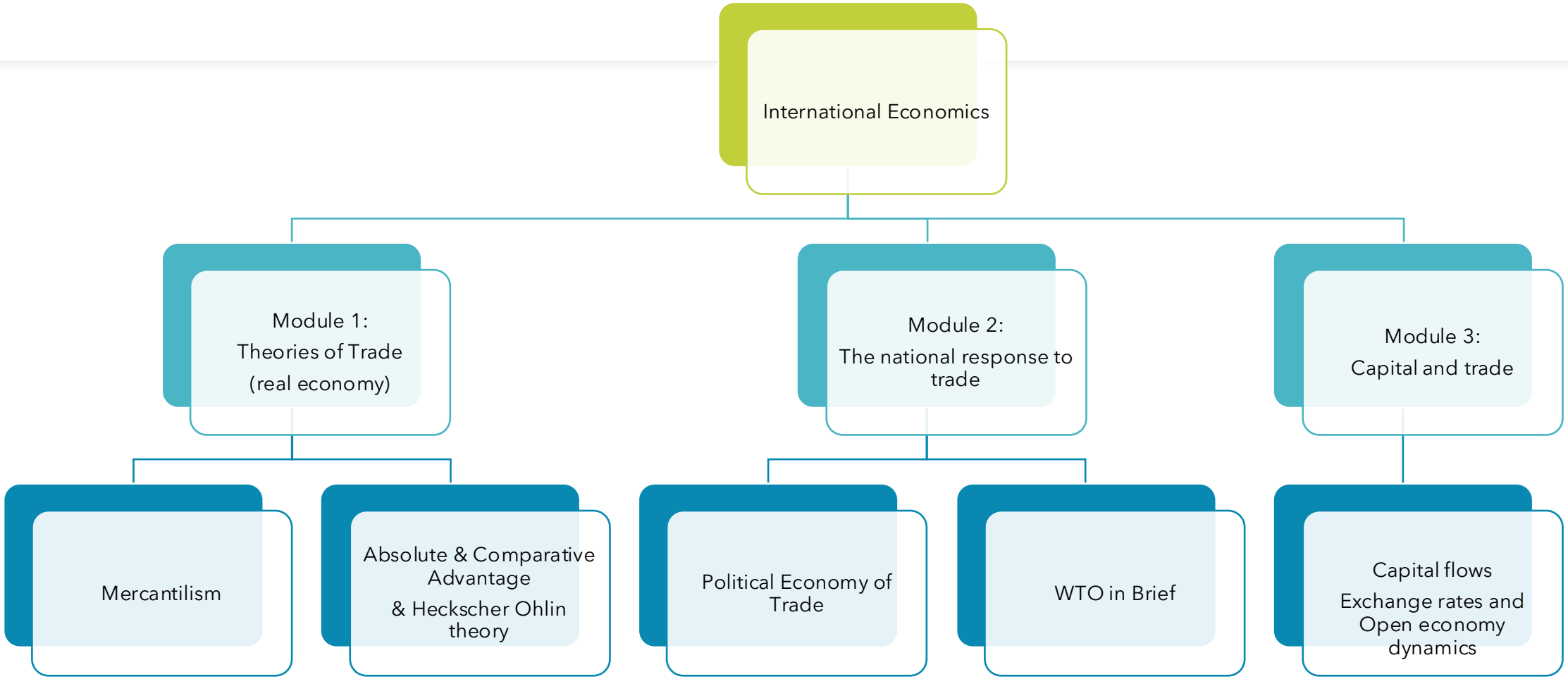
International Economics

Term 6 - PGPEX

IIM Visakhapatnam

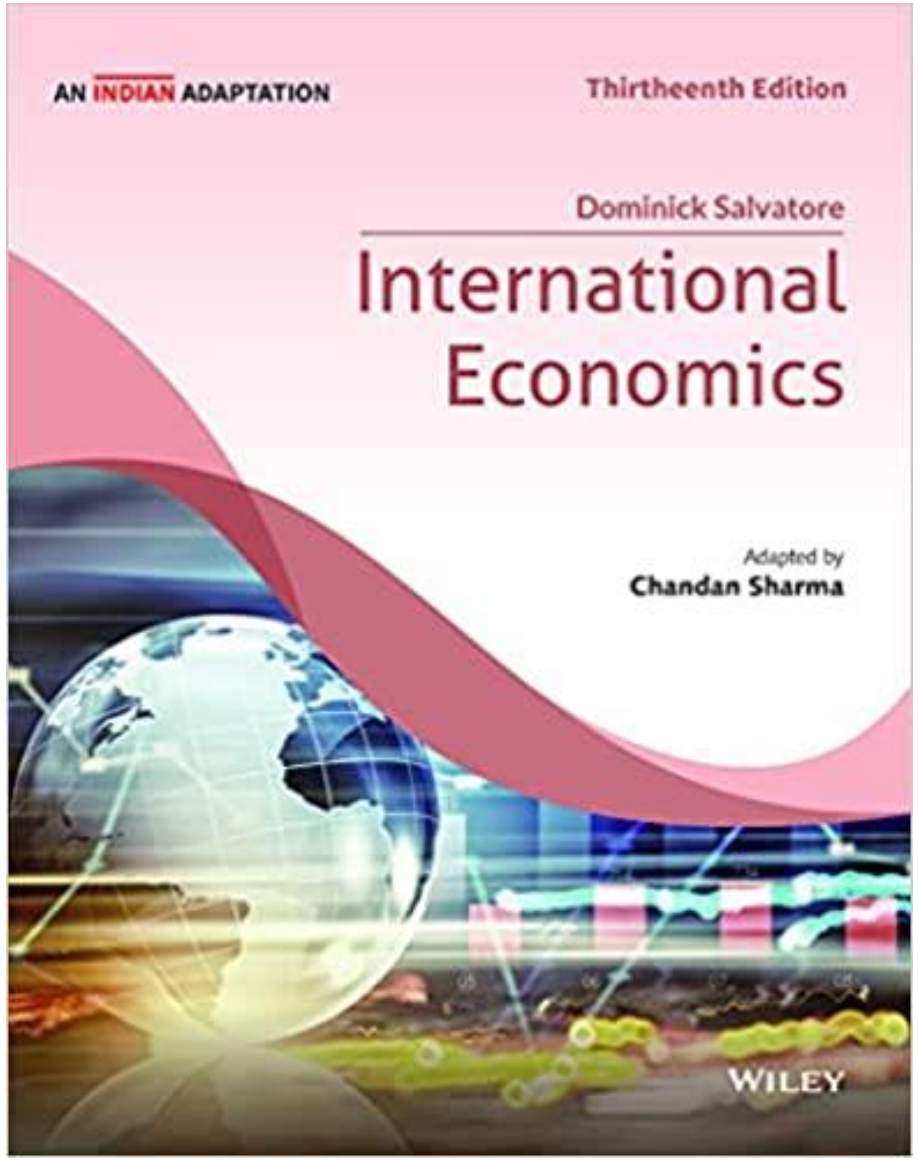


Course Modules



Course Text

- Select chapters
- Theory is very important
- Through theory we will understand real life phenomenon



Evaluation

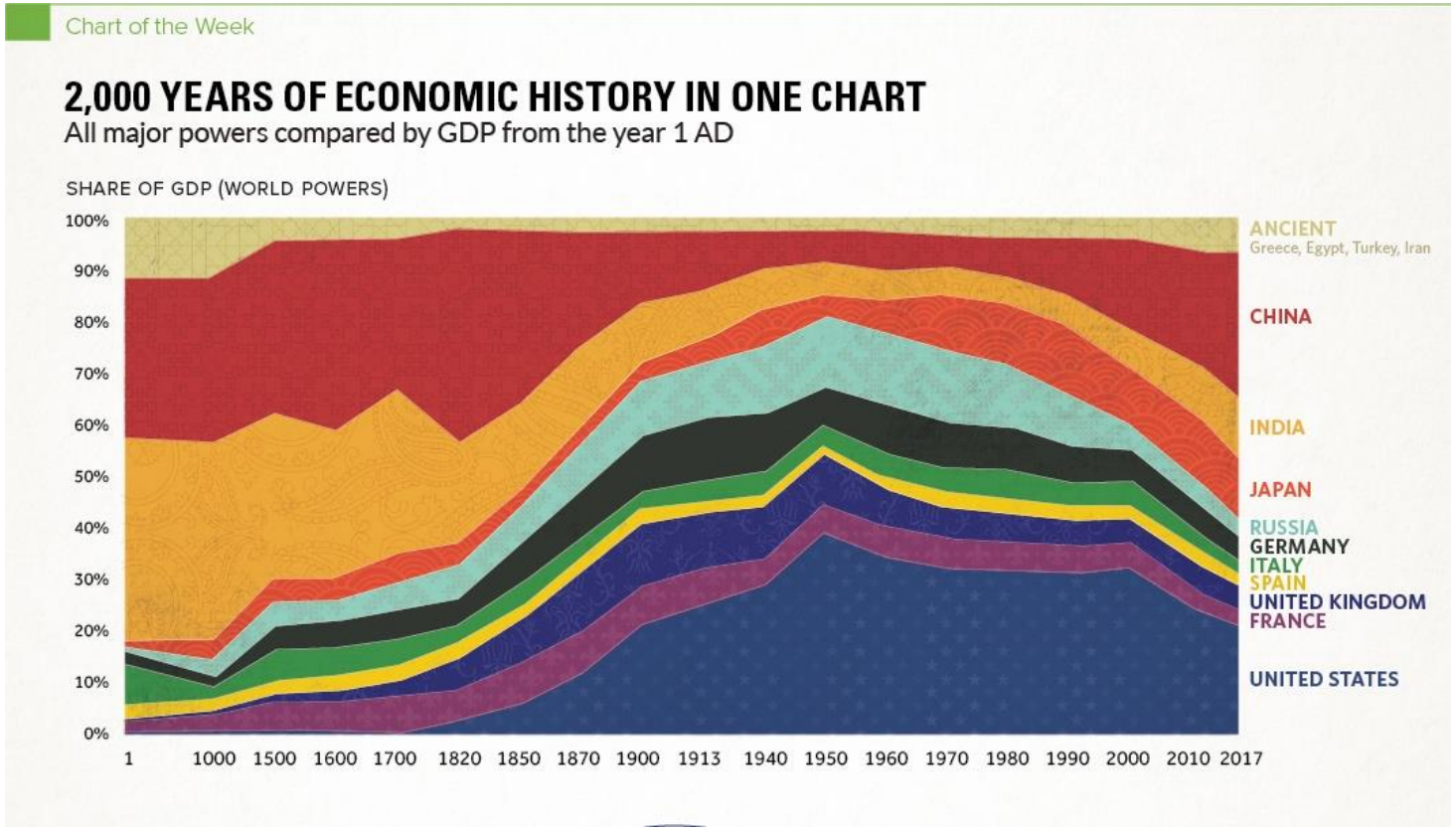
Evaluation Component	Type (Individual/Group)	Weightage	Remarks, if any
Project Report	Group	35%	Report, Mid-term and End Term presentation inclusive.
Mid Term Exam	Individual	30%	Closed Book
End-Term Exam	**Individual**	**35%**	**Closed Book (Cumulative)**

Session Outline

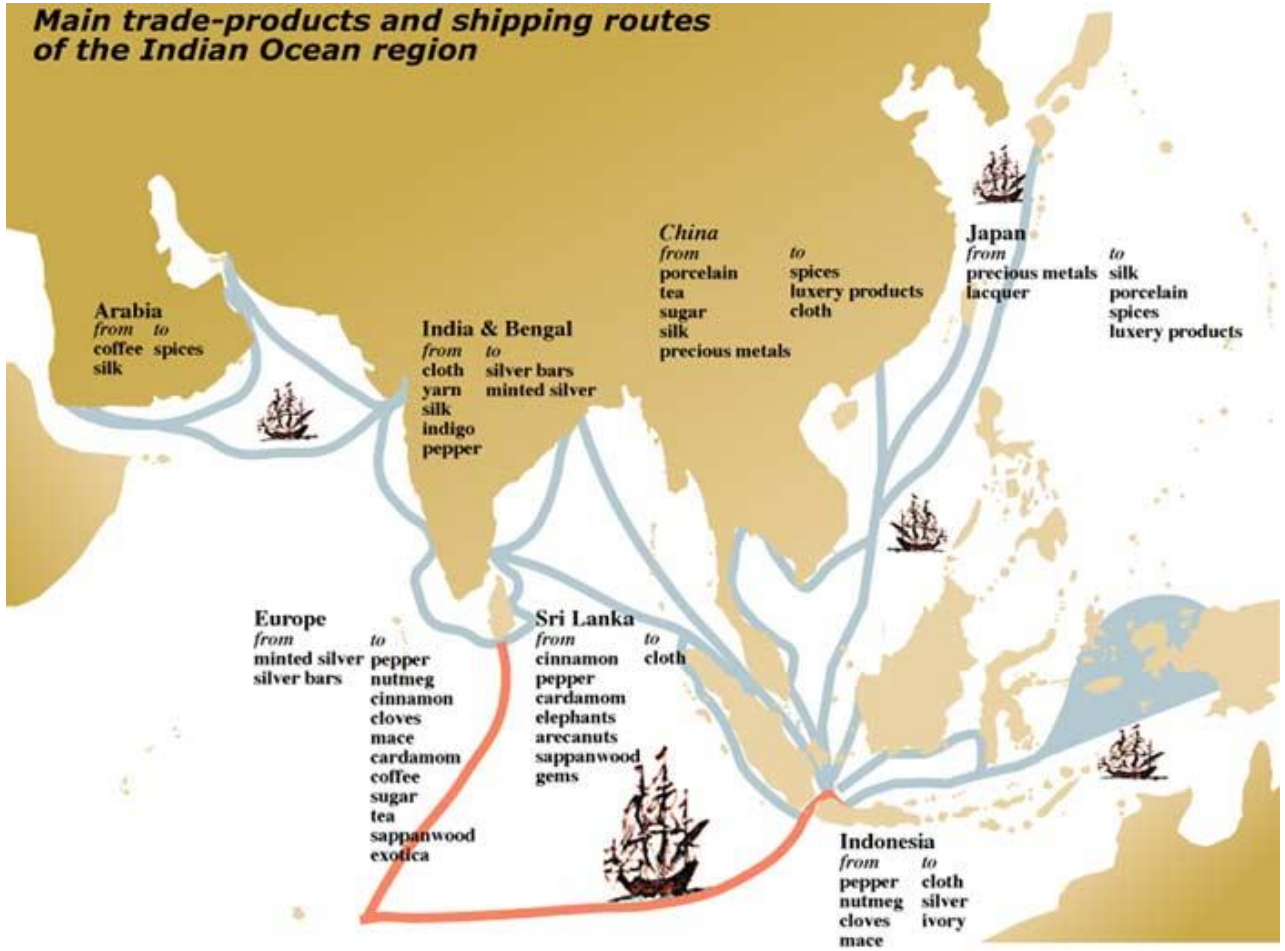
- Free trade until the modern era.
- Mercantilism – History of its evolution
- The ideology of Mercantilism
- We will trace a pattern / cycle of economic thought

Free trade

- Circa 5000 BC to 1600s
- The dominance of India and China in World GDP
- Source: Visual Capitalist



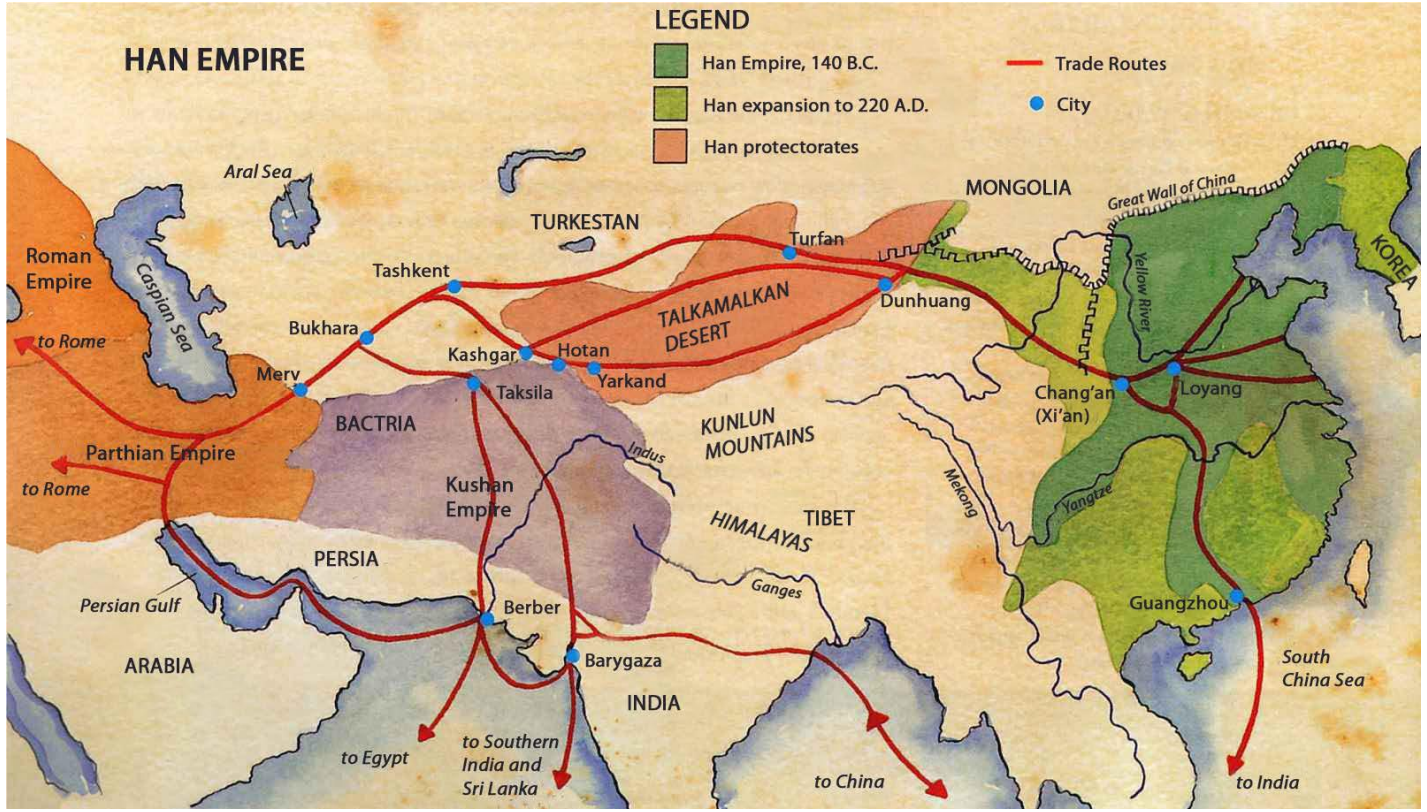
Ancient Spice Routes



- Arabs (pre-dominant) traders were the conduit for Indian trade from 600 BC
- Arabs wove stories and myths about origin of spices.
- Myth of *cinnamologus*
- Margins were HUGE. 1 kg of pepper = went from 2 grams of Silver at source to 30 grams in Europe.

Silk route (Land)

Chinese sea as well as Land route



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Demise of “free” trade

3 reasons

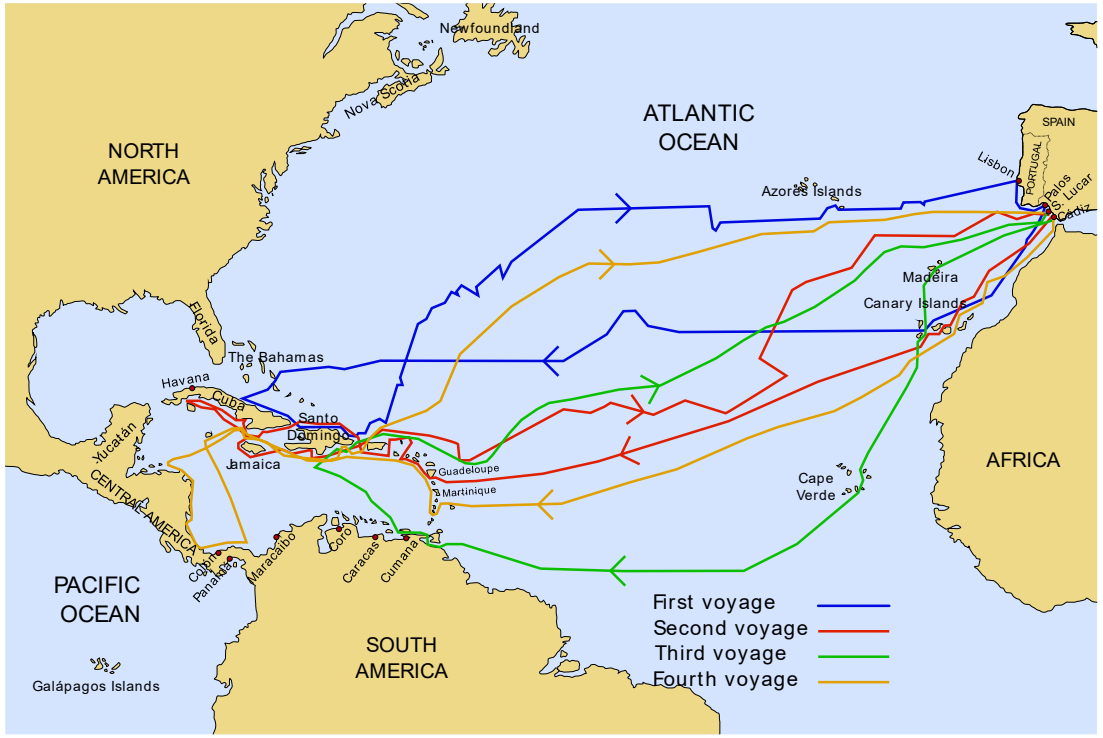
- Closure of the land route (Turkish Byzantine convert to Islam and close the route)
- Social and Political changes in European class.
- Discovery of new lands

Free trade via the land route & its demise

- Marco Polo and his visits to the East.
- Silk route to China (Part Sea and Mostly Land)
- Spice route to India and Indonesia (Part Sea and Part Land)

Closure of the land route

- **1453**, the Ottoman Turks, capture Constantinople (Istanbul) from the Holy Roman Empire (Byzantine) and close the land route to Asia.
- Catholic Spain expel Jews and Muslims after their (re) conquest of Granada.



Seafaring Trade

- **1492**
- Columbus (an Italian) approaches the Queen of Spain, Isabella for ships and escort to find sea route to the East.
- 5 years later Portugese send Vasco Da Gama, who comes to India.

Discovery of New World

- Columbus lands in the Americas, instead of India.
- Gold and Silver in abundance in *New Spain (Central and Southern America)*
- *Incan gold shipped back to Spain.*
- Gold and Silver push spending and Inflation. (Quantity theory of Money)
- This makes Asset holding for future sale valuable.
- Gold creates “sinews of War” . Help maintain an army and Prosecute war.

Merchants and the State see value in holding and controlling more gold and silver.

Origins of mercantilist thought

- Fifteenth century to Eighteenth Europe
- Feudal barons → Princely States → Nation States
- Power transition from landed classes to merchants
- Merchants form Guilds; generate wealth and share it with the State.

Gold and Silver

- *“Gold is a wonderful thing ! Whoever possesses it is a master of everything he desires. With gold, one can even get souls into paradise!”* – Christopher Columbus

State granted Trade Monopoly

- Charters for Monopoly over trade
- The origins of the modern *corporation*
  - First joint stock firm IPO – Dutch East India company (1602)
  - English (later-British) East India company
- Intimacy between the *State authority* and *merchant interest*
- Company employees became the new aristocrats

Flag of the Dutch East India Company

Mercantilism

Merchant Capitalism = Mercantilism

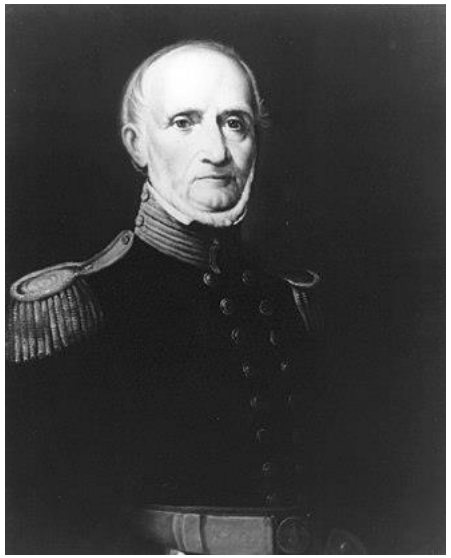
What is the philosophy of Mercantilism ?

Beggar thy trade partner

- Export must be higher than Imports
- Economic nationalism
- Economic Protectionism
- Gold and Silver must be conserved

Mercantilist thinkers

- Thomas Munn (1571-1641):
  - East India company director
  - Bring bullion in exchange for exports
  - Refrain from excessive (domestic) consumption of foreign goods
  - Try to meet neighbor's needs (Export)
  - Compete to eliminate rival exporters.



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Transformation of Mercantilist thought

- Trade is a *Zero-sum game*
- Trade to coercion

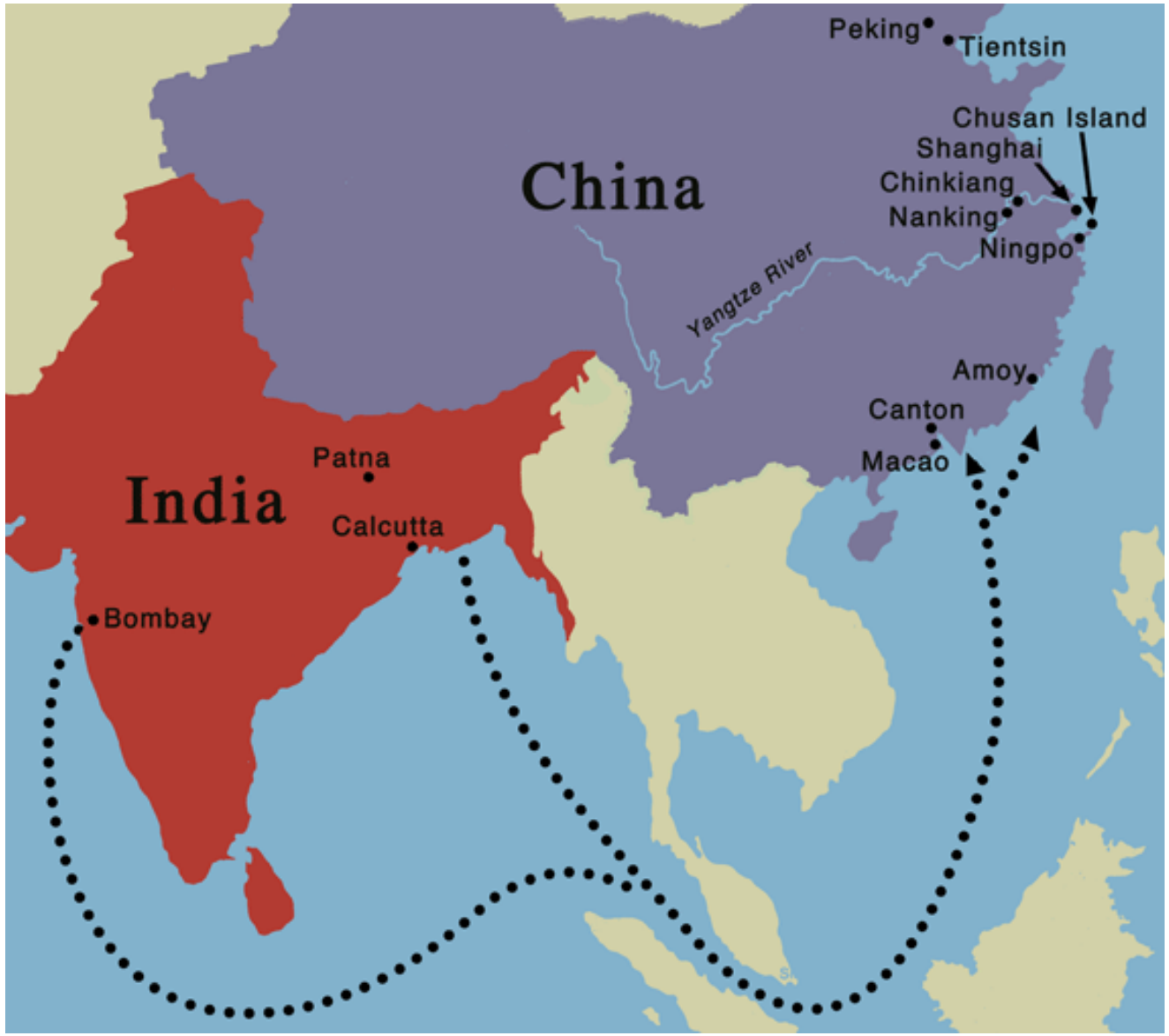
India

Plunder of Bengal

- Governance of Bengal (Political Power)
  - Battle of Plassey
  - Robert Clive becomes governor of Bengal -1757
- Permanent Settlement – 1765 (Economic power / loot)
- The British enact laws that prohibit import of Indian cloth. But promote their exports.

China - Britain
Opium Wars

- Opium wars (1839-42 & 56-60)
  - The Qing dynasty barred opium. But the British can only balance trade via Opium from India.
  - Politically weak due to divisions within society
  - British ambassador had to *kowtow in the Qing court*



Opium Wars

- They go to war and gain trade concessions (Economic Power)
- War is deeply unpopular. William Gladstone
- British get control of Hong Kong on the Pearl River Delta.

Japan - USA

Forced opening of Japan to trade.

- 1852, Commodore Matthew C. Perry of US Navy was assigned a mission by American President Millard Fillmore to force the opening of Japanese ports to American trade, through the use of gunboat diplomacy.
- The Japanese relented
- Unequal treaties signed between Japan and foreign powers.
- Led to Meiji restoration.

Mercantilism

- European Merchants claimed “Free Trade”
- In practice, it was the opposite. They prevented free trade.
- Trade was one-sided. It was focused on amassing wealth.
- Brute force was used to restrict imports. At the same time force was used to promote imports.
- Merchants had a negative view of competition, domestic and foreign.
- No impact on wages. But this was politically feasible as democracy as we know it today, did not exist then.

Mercantilism

- Mercantilism had an aggressive and war-like element in it.

  - ***John Kenneth Galbraith – A History of Economics, the past as the present***

Modern Day Mercantilism - China

- Chinese acceptance of free trade is not to improve consumer surplus (welfare).
- It is to improve Producer's surplus (Chinese Communist Party)
- China distinguished between Chinese firms vs Establishments
  - Chinese firms are Chinese owned
  - Establishment are foreign owned but operating from China.
- We will look at a concept called *innovation mercantilism* later in the course.

Challenge to Mercantilism

- Physiocrats in France – Laissez faire argument for Agricultural surplus

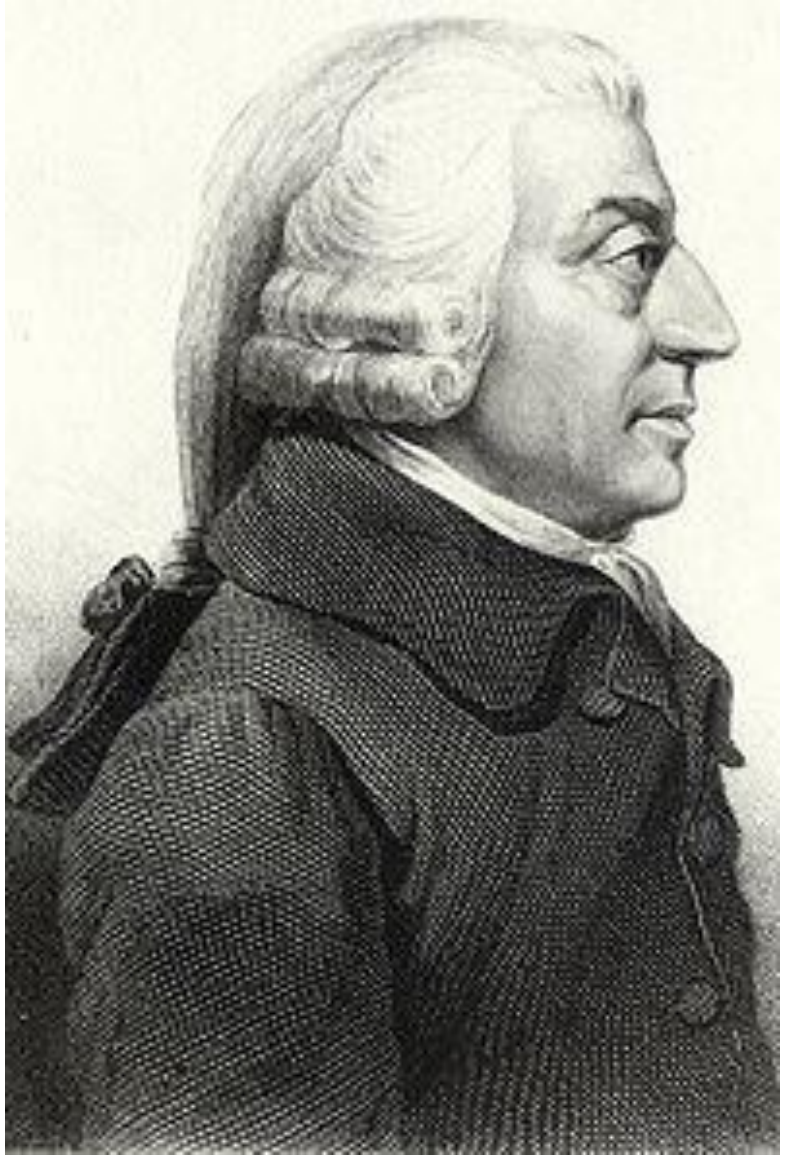
- Adam Smith in the United Kingdom.

Adam Smith

- Adam Smith and his ***Wealth of Nations, 1776 came to the rescue.***
  - ***Father of modern / classical economic thought***

  - "It is the maxim of a every prudent master of a family, never to attempt to make at home what it will cost him more to make than to buy. The tailor does not attempt to make his own shoes, but, buys them of the shoemaker. The shoemaker does not attempt to make his own clothes but employs a tailor. "
  - "What is prudence in the conduct of every private family, can scarce be folly in that of a great kingdom"

  -Adam Smith, An inquiry into the causes and nature of Wealth of Nations, 1776



Enrich a country

- Free Trade vs Protectionism
- Watch a video here